

Olympiad Test Paper — Social Science (Class 7) — Paper 3

Chapter 12: Understanding Markets

Paper 3 — (progressively harder)

Subject	Social Science (NCERT Class 7)
Chapter	12 — Understanding Markets
Total Questions	60 (Multiple Choice, single correct)
Maximum Marks	240
Suggested Time	90 minutes

Marking scheme: +4 for each correct answer · -1 for each wrong answer · 0 if unattempted.

Instructions: Each question has four options (A), (B), (C), (D); exactly one is correct. A market is any buyer-seller-price arrangement (online counts too); the cheapest price is not always best because a price set too low makes the seller stop selling, so the 'just right' price that clears the market is what matters; and the retailer who hands you the good is not the producer who made it - the intermediaries in between add real value. Do not write on this paper — mark answers on your answer sheet.

1. Riya never visits any shop, yet she compares sellers, sees a price, taps 'buy', and a phone is delivered. A friend insists 'that's not a real market because there was no shop building.' The friend is wrong mainly because:

- (A) online sites cannot show real prices, so no genuine exchange takes place
- (B) a market only exists if the buyer and seller stand face to face
- (C) delivery to the home means the transaction happened at the warehouse, not in a market
- (D) what makes something a market is the meeting of buyers, sellers and an agreed price - the building is not the essential ingredient

2. Three situations: (i) a weekly village haat, (ii) a shopping app listing many sellers, (iii) a child swapping a toy with a friend for free. Which of these are markets?

- (A) all three, because any exchange of any kind is a market
- (B) only (i), because a market must be a physical gathering
- (C) only (i) and (ii), because both have buyers, sellers and a price, while a free swap has no price
- (D) only (ii), because a market must use money and an app

3. A market has plenty of fresh mangoes and many eager buyers, but the only seller refuses every offer because none covers her costs, so no mango changes hands all day. The market is failing because:

- (A) there are no buyers present
- (B) there are no goods available
- (C) no price acceptable to both sides has been agreed, so the essential 'agreed price' is missing even though buyers and sellers exist
- (D) a market cannot exist outdoors

4. Which statement best captures why markets exist at all?

- (A) the government orders every citizen to buy a fixed list of goods
- (B) people are not allowed to make anything for themselves
- (C) markets exist only to collect taxes for the state
- (D) no single person can produce everything they need and want, so people trade what they have for what others make

5. A vegetable cart, a corner kirana shop, a city mall, and a shopping website all sell soap. The single feature they **MUST** all share to be called markets is:

- (A) a permanent roof and four walls
- (B) a government inspector on site
- (C) trade in only one type of good
- (D) an arrangement bringing buyers, sellers and a price together

6. A student claims 'buying water is silly because water is free, so it can't be a market good.' The clearest correction is:

- (A) water can never be sold because needs are always free
- (B) only wants like toys are sold in markets, never needs
- (C) when water is bottled, treated and delivered, buyers pay sellers a price for it, so it is traded in a market like any other good
- (D) water is not a real good at all

7. Assertion: An online store can be a market. Reason: A market requires buyers, sellers and a price, not a physical building. Choose the best evaluation:

- (A) the assertion is true but the reason is false
- (B) the assertion is false because markets must be physical
- (C) both the assertion and the reason are true, and the reason correctly explains the assertion
- (D) both are false because online stores have no prices

8. Two markets sell the same brand of rice: one inside an air-conditioned mall, one in an open weekly haat. The deepest reason both are still 'markets' is that:

- (A) both bring buyers and sellers together to exchange goods at agreed prices, regardless of how grand or simple the setting is
- (B) both charge exactly the same price for the rice

- (C) both are open every single day of the week
- (D) both are owned and run by the government

9. A shopkeeper drops her price so low that she earns less than the cost of the goods. After a week she removes the item from her shelves. This illustrates that a 'just right' price must:

- (A) always be the lowest number the seller can possibly print
- (B) be set by the buyer alone, ignoring the seller's costs
- (C) be as high as possible so the seller earns the most
- (D) be high enough to let the seller cover costs and stay in business, or supply will dry up

10. At a price of 10 rupees, buyers want 500 units but sellers offer only 200; at 30 rupees, sellers offer 500 but buyers want only 100; at 20 rupees, buyers want 300 and sellers offer 300. The market-clearing 'just right' price is:

- (A) 10 rupees, because the lowest price is always best for everyone
- (B) 20 rupees, where the quantity buyers want equals the quantity sellers offer
- (C) 30 rupees, because the highest price earns the seller the most
- (D) no price can work because the numbers never match

11. A buyer offers 70 rupees; the seller wants 110 rupees and explains it cost her 80 rupees to obtain the item. The most sensible 'just right' settlement is around:

- (A) 70 rupees, since the buyer's first offer is always the fair price
- (B) a figure above 80 and below 110, such as 95 rupees, so the seller still profits and the buyer still gains
- (C) 60 rupees, even lower, so the buyer pays as little as possible
- (D) any price at all, because the seller must accept whatever is offered

12. Assertion: A seller should never set the cheapest possible price. Reason: A price below cost gives no profit, so the seller may stop selling and goods vanish. Evaluate:

- (A) the assertion is true but the reason is unrelated
- (B) both are true, and the reason correctly explains the assertion
- (C) the assertion is false because cheaper is always better
- (D) both are false because price has no effect on supply

13. A festival suddenly makes everyone want marigold garlands, but the number of garlands stays the same that day. The most likely effect on price is:

- (A) the price falls, because more buyers always means cheaper goods
- (B) the price stays exactly the same, since supply did not change
- (C) the price rises, because many buyers now chase the same limited supply
- (D) the garlands become free, since demand is high

14. A bumper harvest floods the market with tomatoes while the number of buyers stays the same. Trace the likely chain of cause and effect on price:

- (A) supply rises, so the price rises because there is more to sell
- (B) supply rises sharply against steady demand, so sellers compete to sell and the price falls
- (C) demand rises automatically, so the price stays unchanged
- (D) the price is unaffected because only the government sets it

15. In summer, ice-cream sellers and ice-cream buyers both increase, but buyers increase far more than the available ice cream. The price most likely:

- (A) falls, because there are now more sellers
- (B) stays the same, because both sides grew together
- (C) drops to zero, because supply has increased at all
- (D) rises, because demand has outgrown supply even though both grew

16. A shortage of a vaccine pushes its price up. The government then supplies far more of it. Compared with the shortage period, the price now will tend to:

- (A) rise even higher, because more supply means higher prices
- (B) stay locked at the shortage price forever
- (C) come down, because greater supply against the same demand eases the shortage
- (D) vanish, because the good is now free of cost

17. Which scenario would push a good's price UP the most?

- (A) demand jumps sharply while supply falls at the same time
- (B) demand falls while supply rises at the same time
- (C) demand and supply both stay completely unchanged
- (D) supply rises sharply while demand stays steady

18. A trader says, 'I will price my umbrellas highest in the dry season so I earn more.' Why is this poor reasoning about the just-right price?

- (A) umbrellas can only be sold in the rainy season by law
- (B) in the dry season few people want umbrellas, so a high price will leave most unsold; price must match what buyers are willing to pay
- (C) the highest price always brings the highest earnings
- (D) the government fixes umbrella prices every season

19. Demand and supply are like two sides finding a balance. The 'just right' price is best described as the point where:

- (A) buyers wish to buy far more than sellers will supply
- (B) sellers wish to sell far more than buyers will buy
- (C) neither buyers nor sellers want any of the good
- (D) the quantity buyers wish to buy equals the quantity sellers wish to sell

20. When a new phone is launched and crowds line up but only a few are made each day, the seller can charge a high price. The underlying reason is:

- (A) demand greatly exceeds the limited supply, so buyers compete and accept a higher price
- (B) the phone costs nothing to make, so any price is profit
- (C) high prices always cause demand to rise further
- (D) the government forces buyers to pay more

21. Onion supply collapses after heavy rains, yet households still need onions just as much. Which prediction is most accurate?

- (A) the price will fall because onions are a daily need
- (B) the price will not change because needs are never priced
- (C) onions will be given free until the shortage ends
- (D) with demand steady and supply shrunk, the price of onions will climb

22. Two sellers face the same buyers for the same good. Seller A prices it where demand meets supply; Seller B prices it far above that. Over time, Seller B will most likely:

- (A) earn the most, since a higher price always means more profit
- (B) sell little or nothing, because the overpriced good drives buyers to the cheaper, fairly priced seller
- (C) sell exactly as much as Seller A
- (D) be forced by buyers to lower the price below cost

23. A toy is in great demand but only a few exist. Which single change would most help bring its price DOWN to a just-right level?

- (A) advertising it more so even more people want it
- (B) reducing the number of toys made even further
- (C) raising the price so demand falls on its own
- (D) increasing the supply of the toy so it better matches the strong demand

24. Compared with demand, which best describes 'supply'?

- (A) supply and demand both mean the quantity buyers want
- (B) supply is the quantity sellers are willing to offer at a price, while demand is the quantity buyers are willing to take at that price
- (C) supply is the buyers' side and demand is the sellers' side
- (D) supply is the tax on a good and demand is its MRP

25. A drought cuts wheat output across the country. Trace the most likely chain: drought leads to _____ in supply, which leads to _____ in the price of wheat.

- (A) a fall ... a rise
- (B) a rise ... a fall
- (C) a fall ... a fall
- (D) no change ... a rise

26. Why does a seller usually refuse to keep selling at a price the buyer thinks is 'wonderfully cheap'?

(A) if that price fails to cover the seller's costs, continuing means losing money, so the seller would rather stop

(B) sellers dislike happy buyers (C) the law forbids low prices

(D) cheap goods are always of poor quality

27. Which pair correctly contrasts a wholesaler with a retailer?

(A) a wholesaler sells single items to families, while a retailer buys in bulk from factories

(B) a wholesaler makes the goods, while a retailer ships them abroad

(C) a wholesaler buys in bulk and sells onward to shopkeepers, while a retailer sells small quantities to final users

(D) both sell only to final consumers in equal quantities

28. A periodic rural market that sets up only on certain days of the week, then packs up, is best described as a:

(A) haat, a temporary market gathering on fixed days

(B) mall, a permanent enclosed complex of many shops

(C) wholesale depot open round the clock (D) online aggregator app available any time

29. You want a single packet of biscuits late at night. Which market type best suits this need, and why?

(A) a neighbourhood retail shop, because it sells small quantities conveniently close to home

(B) a wholesale market, because it sells single packets cheapest

(C) an export house, because it ships goods abroad

(D) a weekly haat, because it is open at every hour of every day

30. A shopping app lists offers from hundreds of different sellers so a buyer can compare them in one place. This app is acting as:

(A) a producer that manufactures all the listed goods

(B) a final consumer that uses up the goods

(C) an aggregator that gathers many sellers' offers together

(D) a wholesaler that buys the goods in bulk to resell

31. Compare a wholesale cloth market with a retail clothing shop. The key reason the wholesale price per metre is lower is that:

(A) wholesale cloth is always of worse quality

(B) the wholesaler sells huge quantities at once with lower handling per metre, while the retailer adds costs of small-quantity, convenient service

(C) the retailer is the producer and so prices it higher

(D) the government forces wholesalers to charge less

32. Which sequence lists market types from the SMALLEST typical quantity per sale to the LARGEST?

- (A) wholesale market, then neighbourhood retail shop, then a single buyer
- (B) neighbourhood retail shop, then wholesale market, then producer's factory output
- (C) producer's factory output, then retail shop, then wholesale market
- (D) they all sell exactly the same quantity per sale

33. A buyer in Delhi orders a handwoven shawl made by a weaver in a remote hill village and receives it through an online seller. This shows that markets can:

- (A) only work when buyer and seller live in the same town
- (B) exist only for goods made in big factories
- (C) connect distant producers and consumers who would otherwise never meet
- (D) function without any seller at all

34. Which best explains why a single mango can travel from an orchard to a city plate through several different traders?

- (A) the law requires a mango to pass through exactly four owners
- (B) each trader is useless and only inflates the price
- (C) each trader performs a useful step - bulk buying, transport, storage, and splitting into small amounts - moving the mango closer to the final buyer
- (D) the orchard owner personally hand-delivers to every city buyer

35. Order the supply chain for a packet of biscuits from maker to user:

- (A) consumer, then retailer, then wholesaler, then producer
- (B) retailer, then consumer, then producer, then wholesaler
- (C) wholesaler, then consumer, then producer, then retailer
- (D) producer, then wholesaler, then retailer, then consumer

36. A factory sells a shirt to a wholesaler for 200 rupees; the wholesaler sells it to a retailer for 260 rupees; the retailer sells it to you for 320 rupees. The 120-rupee total rise from factory to you mostly reflects:

- (A) the costs and value added by transport, storage, bulk-breaking and each trader's margin along the chain
- (B) pure cheating, since the shirt should cost the same 200 rupees everywhere
- (C) a single tax charged once by the government
- (D) the retailer secretly being the producer

37. In the chain producer, wholesaler, retailer, consumer, who is the one that finally USES the good rather than reselling it?

- | | |
|--------------------|------------------|
| (A) the wholesaler | (B) the retailer |
| (C) the producer | (D) the consumer |

38. A new bakery sells bread straight from its own counter to neighbours. In this short chain, the bakery is acting as BOTH:

- (A) wholesaler and consumer, because it buys in bulk and eats the bread
- (B) producer and retailer, because it makes the bread and also sells small amounts to final users
- (C) distributor and exporter, because it ships bread abroad in bulk
- (D) only a consumer, because it is the one buying the flour

39. Why does a retailer's price for one apple usually exceed the wholesale price the retailer paid?

- (A) retailers are required by law to double every price
- (B) the apple changes into a different fruit at the retail stage
- (C) wholesale prices are fake and never really paid
- (D) the retailer adds the cost of breaking bulk, displaying, storing and selling conveniently in small amounts, plus a margin

40. Surat weaves huge quantities of cloth that ends up as a shirt in a small-town shop far away. The best single explanation for this journey is:

- (A) every buyer must travel to Surat to buy cloth directly
- (B) the cloth teleports instantly with no traders involved
- (C) the government personally delivers cloth to each town
- (D) a supply chain of wholesalers, distributors and retailers carries the cloth across distance and breaks it into saleable amounts

41. Which step in the chain is responsible for moving goods across long distances from manufacturers and wholesalers to many scattered retailers?

- (A) the distributor
- (B) the consumer
- (C) the producer who never leaves the factory
- (D) the certification mark

42. A farmer sells 500 kg of potatoes at once but a family wants only 2 kg. Which intermediary's role most directly solves this mismatch?

- (A) the retailer, who splits bulk into the small amounts a household actually needs
- (B) the producer, who simply grows more potatoes
- (C) the exporter, who sends the potatoes to another country
- (D) the consumer, who must buy all 500 kg to get any

43. Trace what happens to consumers if ALL wholesalers and retailers vanished overnight:

- (A) goods would magically become free for everyone
- (B) ordinary buyers would have to deal with producers directly in bulk, which is costly and inconvenient for small everyday needs
- (C) consumers would get goods faster and cheaper with no change in effort
- (D) producers would happily hand-deliver single items to every household for free

44. A consumer complains, 'middlemen just make my soap costlier for no reason.' The best-grounded reply is:

- (A) middlemen do nothing and only inflate the price
- (B) middlemen are the producers, so they deserve the extra money
- (C) middlemen add real value - bulk buying, transport, storage and selling nearby in small amounts - so the higher price buys genuine convenience
- (D) middlemen lower the price below the factory cost

45. Which best shows an intermediary ADDING value rather than merely raising price?

- (A) a trader who buys and sells the same crate in the same hour without moving or storing it
- (B) a shop that charges more but offers the buyer nothing extra at all
- (C) a wholesaler stores a year's mangoes in cold storage so they can be sold long after the short harvest season
- (D) a seller who hides the price until after the sale

46. Why might a long supply chain sometimes be REDUCED, for example when a farmer sells directly to consumers at a weekend market?

- (A) cutting out some intermediaries can lower the final price and give the farmer a larger share, when the farmer can manage the selling steps
- (B) shorter chains are illegal and always banned
- (C) removing intermediaries makes goods free
- (D) a shorter chain means the goods are of lower quality

47. A distributor and a retailer both stand between the producer and you. Their roles differ in that the distributor mainly _____, while the retailer mainly _____.

- (A) uses up the goods ... makes the goods
- (B) moves goods across distance to many shops ... sells small quantities to final buyers
- (C) sells single items to homes ... ships goods abroad
- (D) prints the MRP ... sets the country's tax rates

48. An app connects a buyer in one state with a small artisan in another and handles the listing and payment. Which benefit of markets does this best illustrate?

- (A) markets only work for buyers and sellers in the same village
- (B) markets remove the need for any price
- (C) markets stop small producers from ever selling
- (D) markets link far-apart producers and consumers, widening the reach of small producers

49. Why can a buyer in a city pay a fair, steady price for rice grown hundreds of kilometres away?

- (A) an organised supply chain transports, stores and distributes the rice so it reaches the city in usable amounts at a workable price
- (B) the city buyer personally harvests the rice each season
- (C) rice appears in cities with no transport or traders involved
- (D) the government grows all rice inside every city

50. Before buying a packaged food product online, a careful consumer should rely MOST on:

- (A) recognised certification marks, the label details and genuine reviews from other buyers
- (B) only the brightness and noise of the advertisement
- (C) only the lowest price on the page
- (D) only the seller's own promise that it is good

51. A trader buys handicrafts cheaply from artisans, sells them at a huge mark-up, and pays the artisans almost nothing. 'Fair trade' would instead aim to:

- (A) pay artisans even less so the trader earns more
- (B) ensure producers like the artisans receive a fair, reasonable price for their work
- (C) remove all prices so goods become free
- (D) ban artisans from selling their work at all

52. A shopkeeper tries to charge 5 rupees ABOVE the MRP printed on a juice pack 'because it is summer and demand is high.' This is:

- (A) fine, because high demand lets a shop ignore the printed MRP
- (B) not allowed, since the MRP is the maximum price, taxes included, that a consumer may be charged
- (C) required by law during summer
- (D) the same as offering a government subsidy

53. Two snacks sit side by side: one carries the FSSAI mark, the other has no certification at all. A quality-aware consumer should reason that:

- (A) the uncertified one must be cheaper and therefore better
- (B) the FSSAI mark signals the food has met safety standards, so it is the more trustworthy choice
- (C) certification marks tell nothing about safety
- (D) the FSSAI mark refers to the snack's energy efficiency

54. A consumer wants assurance about an appliance's electricity use AND about a packaged food's safety. Which marks should they check, in that order?

- (A) the FSSAI mark for energy use, and the AGMARK for food safety
- (B) the AGMARK for energy use, and the ISI mark for food safety
- (C) the BEE Star label for the appliance's energy use, and the FSSAI mark for the food's safety
- (D) the ISI mark for energy use, and the BEE Star for food safety

55. A street lamp lights the road for everyone who passes, and one person's use does not use it up for the next. This is best classed as a:

- (A) public good, available to all and not used up by one person's use
- (B) private good sold to a single buyer
- (C) wholesale lot meant for resale
- (D) an export item shipped abroad

56. A student concludes: 'The seller with the rock-bottom price is always the smartest buy, and a website with no shop isn't really a market.' The best single correction is:

- (A) a price too low may push the seller out of business, and any arrangement with buyers, sellers and a price - online or physical - is a real market
- (B) the cheapest seller is always best, and websites are never markets
- (C) only physical shops are markets, and price never matters
- (D) a market needs no buyers, no sellers and no price

57. The government gives a subsidy on cooking-gas cylinders. Trace the intended effect:

- (A) the subsidy raises the price as high as possible for profit
- (B) the subsidy is a tax added at the till
- (C) the subsidy bans the sale of cylinders
- (D) the subsidy lowers the price consumers pay, making the cylinders more affordable

58. Why does the government set quality standards and certification marks for goods in markets?

- (A) to make every product as expensive as possible
- (B) to stop all private trade in the country
- (C) to ensure only the richest buyers can shop
- (D) to protect consumers by assuring safety and quality they cannot easily judge on their own

59. A market square in a town becomes a place where people from many communities meet, talk and share festivals, not just trade. This shows that markets:

- (A) must keep all communities strictly apart
- (B) exist only to collect taxes
- (C) can serve as social and cultural meeting points, beyond their economic role
- (D) never allow any social contact between buyers

60. A buyer reasons: 'I will only ever buy from the seller asking the lowest possible amount.' If every buyer behaved this way, the most likely long-run result is:

- (A) goods would become endlessly cheaper with no downside at all
- (B) sellers would happily keep selling at a permanent loss forever
- (C) sellers unable to cover costs would leave the market, leaving fewer goods available than before
- (D) the government would force sellers to stay open below cost

Solutions — Social Science (Class 7), Chapter 12: Understanding Markets — Paper 3

Paper 3 — (progressively harder)

Marking: +4 correct, –1 wrong, 0 unattempted. Maximum marks **240**.

Answer Key

Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans
1	D	11	B	21	D	31	B	41	A	51	B
2	C	12	B	22	B	32	B	42	A	52	B
3	C	13	C	23	D	33	C	43	B	53	B
4	D	14	B	24	B	34	C	44	C	54	C
5	D	15	D	25	A	35	D	45	C	55	A
6	C	16	C	26	A	36	A	46	A	56	A
7	C	17	A	27	C	37	D	47	B	57	D
8	A	18	B	28	A	38	B	48	D	58	D
9	D	19	D	29	A	39	D	49	A	59	C
10	B	20	A	30	C	40	D	50	A	60	C

Answer-key distribution: A = 15, B = 15, C = 15, D = 15.

Worked Solutions

1. (D) A market is any arrangement - physical or online - that brings buyers, sellers and a price together for an exchange. Riya compared sellers, saw a price and bought, so all three ingredients were present. The building is incidental, not essential. Online sites clearly display real prices, and there is no rule that buyer and seller must be face to face; the location of delivery does not decide where the market 'is' - the exchange of money for goods at an agreed price is the market itself.

2. (C) A market needs buyers, sellers AND an agreed price. The haat and the app both have all three. The free toy swap has buyers and a seller of sorts, but no price is paid, so it is not a market in the chapter's sense. Not every exchange is a market - the price element is missing in a free swap. Markets are not limited to physical gatherings (the app counts), nor must they always run on an app (the haat counts), so the single-option answers are too narrow.

- 3. (C)** A market is complete only when buyers, sellers and an AGREED price all come together. Here buyers, a seller and goods are all present, but no mutually acceptable price was reached, so no exchange occurred - the missing ingredient is the agreed price. Buyers are clearly present (they are eager), goods are present (the mangoes), and a market can certainly run outdoors like a haat, so those explanations are false.
- 4. (D)** Markets arise because each person can produce only a few things but needs and wants many; trading lets a wheat grower obtain cloth, tools and more. There is no government order forcing purchases, and people are perfectly free to make some things at home - they simply cannot make everything. Tax collection is one government activity but it is not the reason markets exist; the root cause is the human inability to be self-sufficient.
- 5. (D)** The defining feature common to a cart, a kirana, a mall and a website is that each brings buyers, sellers and a price together. A roof and walls are absent from the cart and the website, an inspector is not always present, and markets routinely sell many kinds of goods - so none of those is the must-have feature. The buyer-seller-price triad is what unifies all four.
- 6. (C)** Although water may be a basic need, packaged or supplied water is bought and sold at a price, so it is a market good. The idea that needs are always free is false - food and water are needs yet are routinely paid for. Markets sell both needs and wants, not wants alone, and water is certainly a real good people purchase. The presence of buyers, sellers and a price makes water trading a market.
- 7. (C)** An online store does have buyers, sellers and prices, so it is a market - the assertion is true. The reason states exactly the right definition (the triad matters, not a building), so it correctly explains why the online store qualifies. The assertion is not false (online stores are markets), and online stores plainly show prices, so the alternatives that deny these facts are wrong.
- 8. (A)** What makes each a market is the buyer-seller-price exchange, which both share despite very different settings. They need not charge the same price - prices often differ between a mall and a haat. A haat is periodic, not open every day, so 'open daily' is false. And neither is required to be government-run. The common, defining feature is the exchange itself, not the comfort or schedule of the place.
- 9. (D)** A price below cost wiped out her profit, so she stopped selling - showing the price must cover the seller's costs for supply to continue. The cheapest possible number is therefore not 'best'; it can drive sellers away. The price is reached by both sides, not the buyer alone, and an extremely high price would scare buyers off instead. The 'just right' price sits where the seller can still profit and the buyer is still willing to pay.
- 10. (B)** The just-right price is where demand equals supply - here $300 = 300$ at 20 rupees, so the market clears. At 10 rupees buyers want far more than sellers will provide (a

shortage), and at 30 rupees sellers offer far more than buyers will take (a surplus). The numbers do match exactly at 20 rupees, so a working price plainly exists. Neither the lowest nor the highest price balances the two sides.

11. (B) A price below the seller's 80-rupee cost would mean a loss, so she would refuse; the agreed price must rise above 80 yet stay below the 110 she asked, leaving both sides better off - about 95 rupees fits. The buyer's first low offer is not automatically fair, and 60 (even lower than cost) would simply make her stop selling. Sellers are under no obligation to accept any offer, so the 'must accept' option is wrong.

12. (B) Setting the cheapest possible price can push it below cost, wiping out profit and driving the seller to stop, which removes the goods from the market - so the assertion is true and the reason explains exactly why. 'Cheaper is always better' is the classic trap and is false. Price clearly does affect supply (too low a price reduces it), so the option denying any link is wrong, and the reason is directly related, not unrelated.

13. (C) More buyers competing for an unchanged supply pushes the price up - greater demand with fixed supply raises price. The idea that 'more buyers means cheaper' is backwards. Although supply did not change, demand did, so the price does not stay fixed. High demand never makes goods free - if anything it makes them costlier, the opposite of free.

14. (B) A flood of tomatoes is a jump in supply; with demand unchanged, sellers must lower prices to clear the extra stock, so the price falls. More supply does not raise the price - that confuses supply with demand. Demand does not automatically rise just because supply did. And in an ordinary market price is set by demand and supply meeting, not solely by the government, so the price does respond.

15. (D) Both sides grew, but demand grew much more than supply, so buyers compete for relatively scarce ice cream and the price rises. More sellers alone would push price down, but here the surge in buyers outweighs that. Because the two sides did NOT grow equally, the price does not stay the same. Any increase in supply does not send price to zero - that ignores the much larger rise in demand.

16. (C) Adding lots of supply while demand stays put relieves the shortage, so the price tends to fall back. More supply pushes price down, not up, so a further rise is wrong. Prices are not locked permanently; they respond to the new balance of demand and supply. Increasing supply does not make a good free - it simply reduces the upward pressure on its price.

17. (A) Rising demand combined with falling supply squeezes the good from both directions, sending price up the most. Falling demand with rising supply does the opposite, pushing price down. If both are unchanged the price has no reason to move.

Rising supply against steady demand also lowers price. Only the simultaneous demand-up, supply-down case maximises the upward pressure.

18. (B) Low demand in the dry season means a high price will scare off the few buyers, so most umbrellas stay unsold and earnings drop - the price must reflect what buyers will actually pay. There is no law restricting umbrella sales to one season. The 'highest price means highest earnings' idea ignores that buyers walk away from overpriced goods. And the government does not set umbrella prices each season. The just-right price balances seller's profit with buyer's willingness.

19. (D) The just-right (market-clearing) price is exactly where the amount buyers want matches the amount sellers offer, so nothing is left over and no one is left wanting. If buyers want far more than is supplied, there is a shortage and price rises; if sellers offer far more than buyers want, there is a surplus and price falls - neither is the balance point. A price where nobody wants the good is no market at all.

20. (A) Heavy demand chasing a tiny supply lets the seller raise the price, because buyers compete for scarce units. The high price is not because the phone is costless to make - production costs exist. High prices do not by themselves increase demand; here demand was already high before the price rose. And no government order forces the high price - it emerges from the demand-supply gap.

21. (D) A shrunken supply meeting unchanged demand creates scarcity, pushing the onion price up. Being a daily need does not make scarce onions cheaper - if anything the steady need keeps demand firm while supply falls. Needs are very much priced (people pay for onions every day). And a shortage does not trigger free distribution by sellers; it raises, not removes, the price.

22. (B) Pricing far above the balance point pushes buyers toward the seller offering the just-right price, so Seller B sells little. A higher price does not guarantee more profit if buyers refuse to buy. Seller B will not match Seller A's sales while overpriced. And buyers cannot force a price below cost - the seller would simply stop selling; instead buyers just walk away from the overpriced stall.

23. (D) Increasing supply to match the heavy demand eases the scarcity and lowers the price toward balance. More advertising would raise demand and push price up further. Making even fewer toys deepens the shortage and raises price. Raising the price does not solve scarcity at the source - the real fix for a shortage is more supply, which moves the market toward its just-right price.

24. (B) Supply comes from sellers' willingness to offer; demand comes from buyers' willingness to take - they are the two opposite sides that meet at the just-right price. They do not both mean the buyers' side. The labels are not reversed: supply is the sellers' side, not the buyers'. And neither term means a tax or an MRP; those are unrelated concepts.

25. (A) A drought reduces how much wheat is grown, so supply falls; with buyers still needing wheat, the reduced supply pushes the price up. The first blank cannot be 'a rise' because drought destroys, not boosts, output. A fall in supply does not also lower price - scarcity raises it. And supply clearly does change (it falls), so 'no change' is wrong. Less supply, higher price is the correct chain.

26. (A) A price the buyer loves may be below the seller's costs; selling at a loss is not sustainable, so the seller stops - this is why the cheapest price is not 'best' for keeping goods available. Sellers do not refuse out of dislike for happy buyers. There is no general law banning low prices. And a low price does not automatically mean poor quality - the real issue is whether the seller can cover costs and still profit.

27. (C) A wholesaler deals in large bulk and sells to retailers; the retailer then breaks the bulk into small amounts for final consumers - that is the core contrast. The roles are not reversed (the wholesaler is not the one selling single items to families). Neither makes the goods (that is the producer) nor necessarily exports them. And they do not both sell only to consumers - the wholesaler's customers are mainly retailers.

28. (A) A haat appears on fixed days and then disperses, which exactly fits a periodic rural market. A mall is permanent and enclosed, not periodic. A wholesale depot that is always open does not match the 'only certain days' description. An online app is available any time and is not a physical periodic gathering. The defining trait here is the on-certain-days, temporary nature - that is a haat.

29. (A) A nearby retail shop is built for small, convenient purchases close to home, perfect for one packet at night. A wholesale market deals in bulk, not single packets, and is not designed for a single late-night buyer. An export house sends goods abroad, not to your kitchen. A haat is only open on certain days, not every hour - so it cannot serve a late-night craving. The retailer is the right fit.

30. (C) Combining many sellers' offers in one place for buyers to compare is the job of an aggregator. The app does not make the goods, so it is not the producer. It does not use up the goods, so it is not the consumer. It does not necessarily buy the goods in bulk to own and resell - it simply lists others' offers, which is aggregation, not wholesaling.

31. (B) Selling in bulk spreads costs over many metres, so the wholesale per-metre price is lower; the retailer adds the cost and convenience of breaking bulk into small saleable amounts, raising the per-metre price. The lower wholesale price does not mean worse cloth - it is the same cloth in larger lots. The retailer is not the producer. And the lower wholesale price is a natural result of bulk, not a government order.

32. (B) A retail shop sells the smallest amounts (a packet or two), a wholesale market sells larger bulk lots, and a producer's factory turns out the largest volumes - so retail to wholesale to producer is smallest to largest. Putting wholesale before retail reverses two

steps. Putting the producer first as the smallest is backwards. And they plainly do not all sell the same quantity - the whole chain exists because quantities differ at each stage.

33. (C) The shawl moving from a remote weaver to a Delhi buyer shows markets bridge great distances, linking producers and consumers who would never meet otherwise. Markets clearly are not limited to the same town - this very example crosses regions. They are not only for factory goods - a handwoven craft qualifies. And a market always needs a seller; the weaver and the online seller fill that role. Distance-bridging is the key idea.

34. (C) The chain exists because each trader adds a real service - buying in bulk, transporting, storing and breaking into small lots - so the mango reaches the city buyer in usable form. There is no law fixing the number of owners. The traders are not useless; remove them and city buyers could not easily get a single mango from a distant orchard. And it is impractical for the orchard owner to deliver personally to every city buyer - that is precisely why the chain of traders exists.

35. (D) Biscuits are first made by the producer, sold in bulk to a wholesaler, passed to a retailer, and finally bought by the consumer - producer to wholesaler to retailer to consumer. The other orders scramble these roles: the consumer cannot come first because nothing has been made yet, and the producer cannot come after the retailer or wholesaler because the goods must exist before they can be traded. Only maker-first, user-last is correct.

36. (A) Each step adds real services - moving, storing, splitting bulk - plus a fair margin, so the price builds up from 200 to 320 along the chain. It is not pure cheating; the buyer at the end gets a shirt conveniently nearby, which the bare factory price did not include. The rise is not a single government tax. And the retailer is not the producer in disguise - they are different links, each adding value, which is why the price grows step by step.

37. (D) The consumer is the final link who actually uses the good. The wholesaler buys to resell to retailers, the retailer buys to resell to consumers, and the producer makes the good to sell onward - none of them is the final user. Only the consumer ends the chain by consuming rather than reselling.

38. (B) The bakery makes the bread (producer) and sells single loaves to neighbours (retailer), so it fills both roles in one short chain. It is not a wholesaler-consumer: it does not buy bread in bulk to resell, and it sells rather than eats the bread. It is not a distributor-exporter shipping abroad. Buying flour does not make it 'only a consumer' - its defining market roles toward buyers are producer and retailer.

39. (D) A retailer turns a bulk lot into single apples a buyer can grab nearby, adding storage, display and a margin, so the retail price tops the wholesale price. No law forces a doubling of prices. The apple does not change into another fruit. Wholesale prices are real

prices actually paid by the retailer. The mark-up reflects genuine value added in moving from bulk to a single convenient unit.

40. (D) The cloth reaches a distant small-town shirt through a chain of wholesalers, distributors and retailers who transport it and split it into usable amounts. Buyers do not all travel to Surat - the chain saves them that trouble. Goods do not move without traders; intermediaries do the work. And the government does not personally deliver each town's cloth. The supply chain bridging distance is the correct explanation.

41. (A) The distributor carries goods from manufacturers and wholesalers out to scattered retailers, especially across distances. The consumer is the final user, not a mover of goods. The producer makes the goods and typically does not distribute them to every retailer personally. And a certification mark is a quality label, not a link that transports goods. Distribution across distance is the distributor's role.

42. (A) The retailer breaks the farmer's 500 kg into 2 kg lots a household can buy - this bulk-breaking is exactly the mismatch's solution. The producer growing more does not solve the quantity mismatch. The exporter just moves potatoes abroad, not into small home-sized lots. And forcing the consumer to buy all 500 kg is the problem, not the fix. The retailer's bulk-splitting bridges the gap between large supply and small need.

43. (B) Without intermediaries, a buyer wanting one item would have to approach producers directly and likely buy in bulk - expensive and impractical for daily needs, which is why the chain exists. Goods would not become free; someone still has to make and move them. Removing the convenient links would make buying harder, not easier and cheaper. And producers cannot realistically hand-deliver single free items to every home - that is precisely the job intermediaries take on.

44. (C) Middlemen perform real services - moving, storing and breaking bulk so soap is available near you in a single bar - and the price reflects that value, not waste. Saying they 'do nothing' is the trap the question refutes. Middlemen are not the producers; they are separate links. And they do not sell below factory cost - they add to it because they add value. The convenience the buyer enjoys is what the extra price pays for.

45. (C) Cold-storing mangoes so they are available beyond the brief harvest is a clear value-adding service - the buyer gains access to mangoes out of season. A trader who neither moves nor stores the crate adds little. A shop charging more for nothing extra is not adding value. Hiding the price is unfair conduct, not value-adding. Genuine intermediation involves real services like storage that benefit buyers.

46. (A) When a farmer can handle selling directly, skipping some intermediaries trims the added margins, often lowering the price and raising the farmer's share. Short chains are not illegal - direct farm markets are common. Removing intermediaries does not make goods free; the farmer still charges a price. And chain length is unrelated to quality. The

point is that intermediaries add value but also cost, so sometimes a shorter chain benefits both ends.

47. (B) The distributor's job is carrying goods across distance to scattered retailers; the retailer's job is selling small amounts to final buyers - the two roles are complementary links. Neither uses up or makes the goods (those are consumer and producer roles). The roles are not reversed - the distributor is not the one selling single items to homes. And printing MRP or setting taxes are not their defining functions. Distance-moving versus small-quantity selling is the right contrast.

48. (D) The app lets a small artisan reach a buyer in another state, showing markets connect distant parties and widen a small producer's reach. Markets are not limited to one village - this example spans states. Markets always involve a price - it is not removed. And far from stopping small producers, such markets help them sell to many more buyers. The distance-bridging, reach-widening benefit is the point.

49. (A) A supply chain of transporters, storers and distributors carries distant rice into the city in saleable amounts at a workable price - that is how distance is bridged affordably. The city buyer does not harvest the rice. Rice does not appear without transport and traders; moving it is real work. And the government does not grow all rice inside cities. The organised chain connecting distant producer and city consumer is the answer.

50. (A) Certification marks, clear label details and honest buyer reviews give real evidence of safety and quality, making them the soundest things to rely on. A flashy advertisement is persuasion, not proof. The lowest price says nothing about quality and may even hint at a problem. The seller's own promise is self-interested and unverified. Consumer awareness means checking independent signals like marks, labels and reviews.

51. (B) Fair trade seeks a reasonable, fair return to the producers - here, the artisans should get a fair price for their craft. Paying them even less is the opposite of fair. Fair trade does not abolish prices or make goods free. And it certainly does not ban artisans from selling - it protects their right to a fair share. The aim is fairness to the producer at the start of the chain.

52. (B) MRP is the maximum a consumer may be charged, taxes included, so charging above it is not allowed - high demand does not override the printed ceiling. There is no law requiring an above-MRP charge in summer. Charging extra is the opposite of a subsidy, which would lower the price. Consumer protection means the printed MRP caps what the shop may collect, regardless of season.

53. (B) The FSSAI mark indicates the food product meets recognised safety standards, making it the more trustworthy pick. A lower price does not make an uncertified snack 'better' - cheapness is not proof of safety. Certification marks do convey real safety

information. And FSSAI is about food safety, not energy efficiency (that is the BEE Star label). The aware consumer trusts the recognised food-safety mark.

54. (C) Energy use is shown by the BEE Star label, and food safety by the FSSAI mark - that pairing is correct. FSSAI is for food, not energy, and AGMARK is for graded farm produce, not food safety in that slot. AGMARK does not signal energy use, nor ISI food safety. ISI is for industrial standards, not energy, and BEE Star is energy, not food. Matching each mark to its proper domain gives BEE Star then FSSAI.

55. (A) A street lamp is open to everyone and one user does not exhaust it for others - the hallmarks of a public good, usually provided by the government. It is not a private good sold to one buyer, since many share it freely. It is not a wholesale lot for resale, nor an export item. The shared, non-using-up nature marks it clearly as a public good.

56. (A) This fixes both errors: a rock-bottom price can drive the seller to stop selling, so cheapest is not always best; and a website with buyers, sellers and a price is genuinely a market. Repeating that the cheapest is best and websites are not markets keeps both mistakes. Claiming only physical shops are markets and price is irrelevant is doubly wrong. And a market certainly does need buyers, sellers and a price - those are its defining ingredients.

57. (D) A subsidy is government money used to lower a price or support producers, so a gas-cylinder subsidy makes cylinders cheaper for buyers. It does not raise the price - that is the opposite of its purpose. It is not a tax (a tax adds to the price; a subsidy reduces it). And it does not ban sales; it encourages affordable access. The intended effect is a lower, more affordable price.

58. (D) Standards and marks protect buyers by certifying safety and quality that an ordinary consumer cannot test alone - that is their purpose. They are not meant to maximise prices. They do not aim to halt private trade; markets continue, just more safely. And they are not designed to exclude poorer buyers. Consumer protection through verified quality is the government's goal here.

59. (C) Beyond buying and selling, a market square can bring diverse communities together to talk and share culture - markets can be social and cultural centres. They do not keep communities apart; they mix them. They are not just tax-collection points. And they do not forbid social contact - quite the reverse, they encourage it. The example highlights the market's role as a melting pot of people and culture.

60. (C) If buyers chase only the lowest price, prices can fall below sellers' costs; loss-making sellers eventually quit, so fewer goods remain - showing why the cheapest price is not 'best' for the market as a whole. Goods do not get endlessly cheaper without a downside; the downside is vanishing supply. Sellers will not sell at a loss forever - they

stop. And the government does not compel sellers to trade below cost. The just-right price, not the rock-bottom one, keeps goods flowing.